Memorandum

To: Managing Director and CEO, HDFC Bank (hypothetical addressee)
From: Anklesh
Date: 3 November 2026
Subject: Getting standalone RoA back to 2% by FY29

The answer

HDFC Bank can be back above 2% RoA by FY29, but the base case will not get it there and the share price already assumes it will. On current drivers RoA recovers only to 1.86% by FY29E. Six management levers add 18 bp, to 2.04%. The market price of ₹700 implies a 17.9% RoE; the base case gives 14.6%. The plan therefore has to be funding-led: deposits and borrowings first, asset mix second, cost third.

1. The problem is margin, not cost

- RoA held at 1.8-2.0% for a decade. The merger moved NII from 3.83% of average assets (FY23) to 3.11% (FY26); Q2 FY27 RoA is 1.75% annualised.
- The 43 bp gap to ICICI Bank is 63 bp of NII and 25 bp of FY26's one-off provisions. HDFC Bank is already ahead on cost, other income and tax.
- Management missed its own 3.4-3.5% NIM range (3.16% on total assets in Q2 FY27). The CFO now calls the bottom; that should be tested at Q3 FY27.

2. The base case helps, but not enough

- ₹1,93,210 cr of legacy borrowings mature within a year. Replacing 60% with deposits lifts NIM from 3.12% to 3.51% by FY29E.
- The bank is asset-sensitive: +100 bp adds ₹12,569 cr to NII. The October 2026 repo hike helps only if deposit pricing holds.
- Credit cost is 0.48% against a through-the-cycle 0.69%. Normalisation costs about 10 bp of RoA and is in the base case.
- Regulation is small for the bank: the IRDAI caps cost ₹873 cr of fees by FY29E (1.3% of other income); UPI MDR adds ₹564 cr. For the group, HDFC Life's VNB nets + ₹279 cr only if the bank keeps distributing.

3. Six levers close the gap; four do most of the work

Lever (FY29E, on top of base case)	RoA, bp	PAT, ₹ cr	Equity value, ₹ cr
Re-mix advances to higher-yield retail and SME	5.3	3,030	44,673
Branch and operations productivity	3.8	2,171	32,015
Rebuild CASA	3.4	1,956	28,839
Retire legacy borrowings faster	3.0	1,688	24,889
Protect bancassurance and grow card fees	1.9	1,090	16,075
Win UPI merchant acquiring share	0.4	215	3,174
All levers	**17.8**	**10,150**	**1,49,666**

Lever sizes, feasibility and timing are judgements for discussion; each is a driver change in the model, so the values are traceable.

4. What it is worth

At a 13.1% cost of equity, each 10 bp of sustainable RoA is worth about ₹84,212 cr of equity value. The base case supports ₹471-533 a share (residual income to sum of the

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parts) against ₹700; only the upside case (RoA 2.25%) supports today's price, at ₹632-733. In the downside case (RoA 1.32%) the levers still leave RoA 50 bp short.

5. Decisions requested and the first 90 days

1. **Make deposits the binding constraint.** Hold the credit-deposit ratio near 93% and fund a 1.5 pp CASA rebuild before chasing loan share.
2. **Retire ₹75,000 cr of legacy borrowings ahead of plan.** Borrowings cost 7.80% against 4.76% for deposits.
3. **Re-price the HDFC Life partnership now.** Agree persistency-linked commission and a longer premium-term mix before the IRDAI caps are final.
4. **Govern it monthly.** A seven-KPI RoA cockpit to the board, with named owners for each lever and a test of the margin guidance at the Q3 FY27 result.

Main risks

Faster credit normalisation and sticky deposit costs are the two that break the plan. A deposit beta of 0.50 rather than 0.35 removes most of the NIM gain; a credit cost of 0.85% by FY29 takes RoA to 1.32% before levers. Both have early-warning triggers in the cockpit.

Method and sources: models/HDFC_RoA_Path_FY29.xlsx and decks/HDFC_RoA_Steerco.pptx. Public data only: HDFC Bank IR26, quarterly presentations, RBI, NPCI, IRDAI, Screener.

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